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Company Review

Resource valuation, risk and investment thesis

COMPANY

enCore Energy Corp. (NASDAQ: EU | TSXV: EU)

ANALYSIS DATE

October 8, 2026

METHOD

Don Durrett 10-factor method and sum-of-the-parts (USD)

PREPARED BY

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Executive Summary

enCore Energy is a Tier 1 (USA) uranium in-situ recovery (ISR) producer with Alta Mesa (70%) and the Rosita plant in South Texas, plus a development pipeline in Texas, South Dakota and Wyoming [1][2]. The Durrett 10-factor score is **6.4 / 10**. Our sum of the parts (1.3x AISC, stage factors, 5% discount rate) gives **\$1.40, \$2.08 and \$4.33** per share at U3O8 of \$85, \$100 and \$150, against a price near \$1.08 [3]. Analyst targets were not retrieved, so no base-case comparison is shown.

Main drags: weak H1 2026 extraction (131,274 lb vs 317,613 lb a year earlier; \$57.36/lb extraction cost) and a 360,000 lb spot purchase in Q2 to meet deliveries [1][8], a CEO change in April 2026 [8], thin cash against \$115M of convertible notes [1][4], a new US\$250M at-the-market (ATM) equity program that is larger than the market cap [14], and Dewey-Burdock permitting risk, about half of project NAV [6]. Recommendation: **Hold**. Data Quality Score **6.75 / 10**; the audit lists what remains provisional.

\$1.08	~\$0.21B	6.4 / 10	+93%
PRICE (USD) [3]	MARKET CAP [3]	DURRETT SCORE	SOTP UPSIDE (BASE)

Recommendation: Hold. The \$85 case sits near the market price, but dilution capacity, Dewey-Burdock permitting, contract coverage and weak operations are the key risks.

Market cap = \$1.08 x 194.3M shares outstanding [3]; fully diluted 206.1M. All figures in U.S. dollars (USD); no currency conversion was required.

Project List

PROJECT	LOCATION	OWNERSHIP	STATUS
Alta Mesa (ISR)	Texas, USA	70%	Production; ramp-up [2][5]
Rosita (ISR plant)	Texas, USA	100%	Production; no resource in RAG file, not valued [2]
Mesteña Grande	Texas, USA	100%	Development [2]
Dewey-Burdock	South Dakota, USA	100%	Pre-production; permits pending [2][6]
Gas Hills	Wyoming, USA	100%	PEA (Dec 2024) [2]
Juniper Ridge	Wyoming, USA	100%	Pre-PEA; 2017 technical report [2]

Table 1. Sources: project RAG JSON (merged 2026-01-30) [2]; filings [1][5]; permitting update [6]. All figures in U.S. dollars (USD); no currency conversion was required.

Project Locations

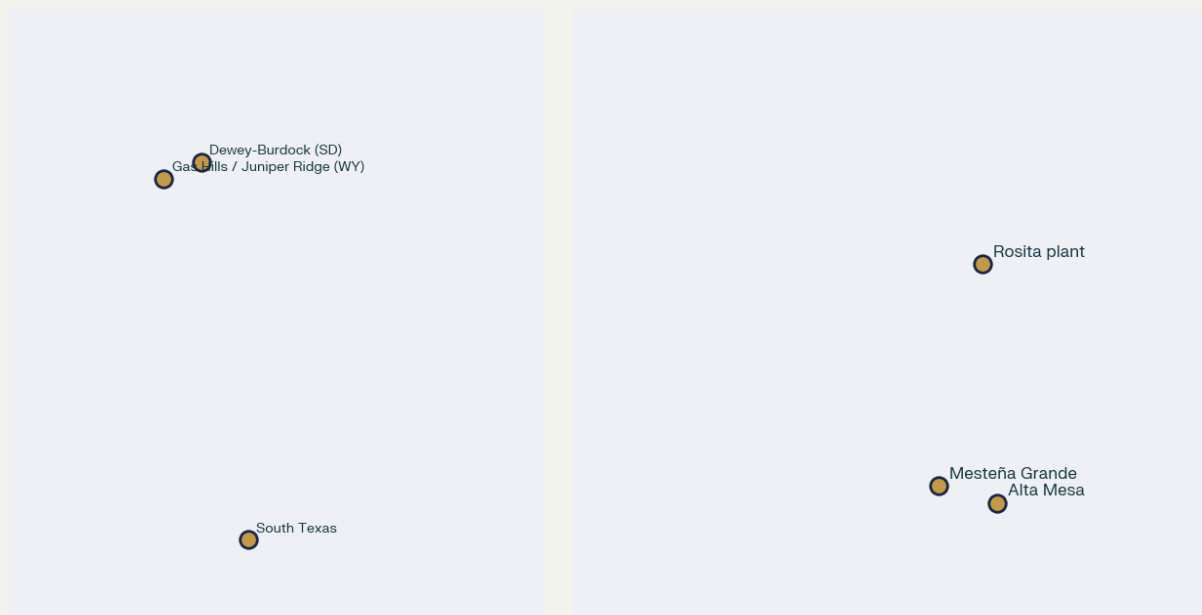


Figure 1. Schematic map, not to scale; positions approximate and for orientation only. Alta Mesa and Mesteña Grande are in Brooks and Jim Hogg Counties, Texas [2]. All figures in U.S. dollars (USD); no currency conversion was required.

Reserves, Resources and Plausible Value

PROJECT	P&P	M&I total	M&I ex-reserves	INFERRED	PLAUSIBLE	ATTRIB.
Alta Mesa (70%)	none	3.356	3.356	4.455	3.518	2.463
Mesteña Grande	none	0.287	0.287	13.601	4.267	4.267
Dewey-Burdock	none	17.122	17.122	0.713	11.343	11.343
Gas Hills	none	6.164	6.164	none	4.007	4.007
Juniper Ridge (prov.)	none	2.315	2.315	none	1.505	1.505
Total attributable						23.585

Table 2. Units: Mlb U3O8, 100% basis except attributable. Sources: S-K 1300 / NI 43-101 data in RAG JSON [2]. Juniper Ridge uses a 2017 report (prov.). Reserves are recoverable, resources contained. All figures in U.S. dollars (USD); no currency conversion was required.

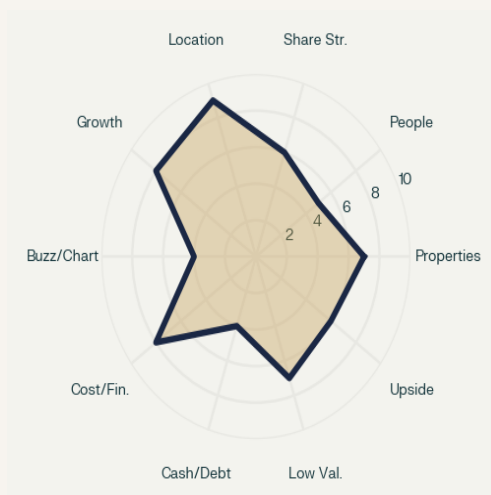
Plausible = P&P x 0.9 + (M&I minus reserves) x 0.65 + Inferred x 0.3. Alta Mesa: $3.356 \times 0.65 + 4.455 \times 0.3 = 3.518$ ($\times 70\% = 2.463$). Mesteña Grande: $0.287 \times 0.65 + 13.601 \times 0.3 = 4.267$. Dewey-Burdock: $17.122 \times 0.65 + 0.713 \times 0.3 = 11.343$. Gas Hills: $6.164 \times 0.65 = 4.007$. Juniper Ridge: $2.315 \times 0.65 = 1.505$.

10-Factor Analysis

FACTOR	SCORE	RATING	RATIONALE
Properties / Ownership	7	Good	Several US ISR assets, two plants; Alta Mesa 70% JV [2]
People / Management	5	Fair	CEO replaced Apr 2026, founder returned as Executive Chair; extraction shortfalls [1][8]
Share Structure	6	Fair	206.1M fully diluted [3]; \$115M converts at \$3.29 [4]; US\$250M ATM [14]
Location	9	Excellent	USA, Tier 1; Dewey-Burdock permitting open [6]
Projected Growth	8	Strong	Upper Spring Creek built; multi-project pipeline [7]
Good Buzz / Chart	4	Weak	Price down 5% to \$1.02-\$1.08 in early Oct [3]; provisional
Cost / Financing	8	Strong	AISC \$31-53 vs \$85-\$150, but extraction cost \$57.36/lb [1][2]
Cash / Debt	4	Weak	Cash \$21.8M vs \$110.2M converts carrying value [1][4]
Low Valuation Estimate	7	Good	EV about \$0.25B, about \$10 per plausible lb
Upside Potential	6	Fair	SOTP at \$150 is 4.0x price; late-stage timing factors
Total	64 / 10 =	6.4	

Table 3. Equal-weighted, scored 1-10 under the Durrett 2.2 rubric. People, Share Structure, Buzz and Cash/Debt are judgment calls; People was lowered from 6 to 5 after the CEO change. All figures in U.S. dollars (USD); no currency conversion was required.

Radar Chart



Valuation: Sum of the Parts

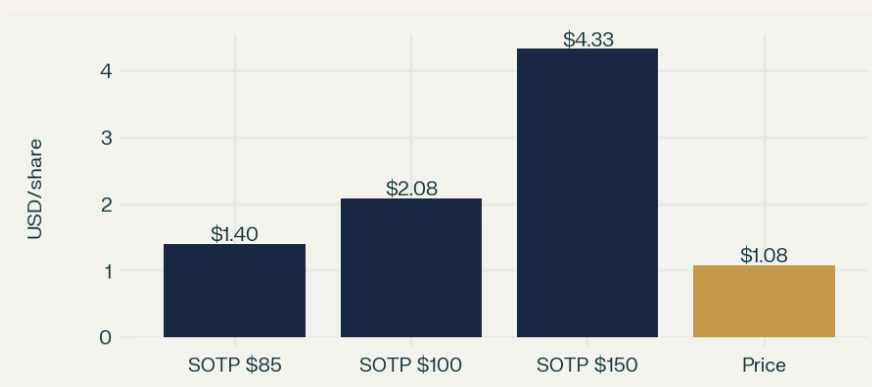
Margin per lb = U3O8 price minus 1.3x AISC. Plausible pounds are spread evenly over mine life, discounted at 5% (mid-year) and multiplied by the Durrett 2.2 stage factor. Future capex is not deducted (not itemized; see Audit).

PROJECT	ATTRIB. Mlb	START (yrs)	LIFE (yrs)	AISC \$/lb	PADDED AISC	STAGE
Alta Mesa	2.46	0.5	21	36.42	47.35	1.00
Mesteña Grande	4.27	3	9	53.18	69.13	0.80
Dewey-Burdock	11.34	4	14	35.01	45.51	0.60
Gas Hills	4.01	6	7	30.93	40.21	0.40
Juniper Ridge	1.51	8	10	40.00	52.00	0.40

Table 4. AISC and mine life from RAG JSON [2]; start dates are assumptions. Stage mapping: Production 1.00; Development 0.80; Pre-production = Pre-feasibility 0.60; PRE_PFS / PRE_PEA = PEA stage 0.40. All figures in U.S. dollars (USD); no currency conversion was required.

USD MILLIONS	\$85	\$100	\$150
Alta Mesa NAV (stage-weighted)	56.6	79.2	154.3
Mesteña Grande NAV	37.9	73.7	193.0
Dewey-Burdock NAV	160.2	221.0	423.9
Gas Hills NAV	45.4	60.6	111.2
Juniper Ridge NAV	10.6	15.5	31.6
Project NAV	310.7	449.9	914.0
Less: future capex (PV)	not deducted	not deducted	not deducted
Less: convertible notes (carrying)	(110.2)	(110.2)	(110.2)
Plus: cash, securities, inventory	88.4	88.4	88.4
Equity value	288.9	428.1	892.2
Per share (206.1M diluted)	\$1.40	\$2.08	\$4.33
vs. current price (\$1.08)	+30%	+93%	+301%

Table 5. Cash \$21.8M, securities \$52.2M (incl. Verdera stake), inventory \$14.4M, \$115M 5.5% converts due 2030, conversion \$3.29 [1][4]. Converts treated as debt; dilution only above \$3.29, so \$150 is slightly overstated. All figures in U.S. dollars (USD); no currency conversion was required.



Sensitivities

CASE (\$100 URANIUM)	PER SHARE	VS. BASE
Base case	\$2.08	n/a
Dewey-Burdock NAV 50% lower (permit delay or denial)	\$1.54	-26%
\$100M equity raise at \$1.08 (92.6M shares)	\$1.77	-15%
Short contracting: 360,000 lb/quarter bought at \$100 spot for 4 quarters, delivered at an assumed \$65 contract price	\$1.83	-12%
All non-producing projects start 1 year later	\$1.99	-4%

Table 6. Illustrative; haircut, raise, spot-purchase and delay cases are analyst assumptions. Spot case: 1.44M lb x (\$100 - \$65) = \$50.4M, over 206.1M diluted shares. The \$65 contract price is an assumption, not a company figure (2024 average was \$84.85/lb [9]); Q2 2026 included a 360,000 lb spot purchase [8]. Each extra quarter costs about \$0.06 per share. All figures in U.S. dollars (USD); no currency conversion was required.

Input Assumptions Disclosure

INPUT	VALUE	BASIS
U3O8 price	\$85 / \$100 / \$150, flat	Client scenarios; not a forecast
Discount rate / cost pad	5% / 1.3x	Client instruction
Durrett constants	0.9 / 0.65 / 0.30	Project override
Capex by project	not deducted	Not itemized; gap
FX	n/a	All USD
Start dates	0.5 / 3 / 4 / 6 / 8 yrs	Analyst assumption
Cash / debt	\$21.8M / \$110.2M	Q2 2026 10-Q [1][4]
Shares	206.1M diluted	194.3M basic + 7.5M options + 4.3M RSUs [3]; excludes any ATM sales since Aug 13, 2026
Contract price (sensitivity)	\$65/lb	Analyst assumption

Table 7. Rosita valued at zero (no resource data). Several project records pre-date Q2 2026. All figures in U.S. dollars (USD); no currency conversion was required.

Capital Raise Outlook (18 months)

Probability of a meaningful raise (about \$50M or more): about 65%; forced raise: about 25%. On Aug 13, 2026 enCore put in place a US\$250M at-the-market program, about 1.2x the current market cap, and Q2 2026 cash was only \$21.8M [1][14]. Needs include Mesteña Grande, Upper Spring Creek, Dewey-Burdock, corporate burn and any spot purchases. I could not find how many shares have been sold under the program.

This section is analyst judgment, not a sourced forecast. All figures in U.S. dollars (USD); no currency conversion was required.

Capital Raise History

DATE	EVENT	SIZE AND TERMS	SOURCE
Aug 13, 2026	At-the-market (ATM) equity program, Cantor Fitzgerald	Up to US\$250M at market prices; shares sold to date not found	[14]
Aug 22, 2025	5.50% convertible senior notes due Aug 15, 2030	\$115M (incl. \$15M option); net \$109.8M; conversion \$3.2895; \$11.5M capped call; \$10.6M repaid uranium loan	[13]
Feb 26, 2024	Boss Energy Alta Mesa JV and share purchase	\$60M for 30% of Alta Mesa plus \$10M equity (2,564,102 shares at \$3.90)	[12]
Feb 2024	Alta Mesa vendor note converted to equity	Remaining \$20M of \$60M 8% note converted into 6,872,143 shares	[12]
Q4 2023 - Jan 2024	ATM program (\$70M facility)	495,765 shares at avg \$4.05 = \$2.0M in Q1 2024; suspended Apr 2024 with \$18.7M unused	[12]
Feb 2023	Public offering of units	C\$34.5M; 10,615,650 units at C\$3.25; funded Alta Mesa purchase	[11]
Mar 25, 2022	Bought-deal public offering of units	C\$30.0M; 19,607,842 units at C\$1.53 with half-warrant at C\$2.00	[10]

Table 8. The Feb 2023 Alta Mesa acquisition cost \$120M, including a \$60M vendor note. Exact dates for the ATM start and 2023 note payments were not verified. Per-event dilution percentages were not computed. All figures in U.S. dollars (USD); no currency conversion was required.

Red Flags and Investor Concerns

Red Flag: Management and contract coverage. The board replaced the CEO on Apr 20, 2026 and returned the founder as Executive Chair; Q2 2026 needed a 360,000 lb spot purchase to meet deliveries. Pending Alta Mesa and Upper Spring Creek permits point to relief no earlier than 2027, so this risk likely lingers [8].

Red Flag: Dilution capacity. The US\$250M ATM program is about 1.2x the market cap, and cash of \$21.8M is thin against \$115M of notes; sales at about \$1.08 would dilute heavily [1][14].

Red Flag: Execution. H1 2026 extraction was 131,274 lb vs 317,613 lb a year earlier and extraction cost rose to \$57.36/lb, above the RAG-file AISC figures [1].

Red Flag: Dewey-Burdock permitting. About half of project NAV depends on a project still seeking state permits [6].

Red Flag: People (5), Share Structure (6), Good Buzz (4), Cash / Debt (4). Thin liquidity against \$115M of notes, weak price action and potential dilution [1][3][4].

Observations and Next Steps

Watch the Q3 2026 report for extraction ramp, Alta Mesa and Upper Spring Creek permits, spot-purchase volumes and ATM usage. Verify cash, capex commitments, options/RSUs, Gas Hills and Juniper Ridge resources, and the contract book and price. The RAG JSON (merged 2026-01-30) predates the Q2 2026 10-Q.

Data Quality Audit

Data Quality Score 6.75 / 10 (accuracy 6.5, hallucination control 7.0, sycophancy 7.0; weighted 0.5 / 0.3 / 0.2). Verified against company primary sources: ownership, AISC and resources from the RAG JSON [2]; Q2 2026 results and 10-Q [1][4]; share structure [3]; CEO change [8]; capital raise events [10]-[14]. Provisional or secondary: price and market cap [3]; spot purchase volume (secondary summary [8]); contract price; ATM sales to date; start dates; stage mapping; Juniper Ridge (2017 report); Rosita (no resource); capex and other balance-sheet items. Analyst targets are not included.

Sources and Footnotes

#	SOURCE
[1]	enCore Energy, Q2 2026 results release (Aug 13, 2026), encoreuranium.com: cash, securities, extraction, costs.
[2]	Project RAG JSON uranium_complete_spec_consolidated_RAG.json (merged 2026-01-30); S-K 1300 / NI 43-101 data (SEC FY2024 10-K).
[3]	enCore share structure page (Aug 31, 2026); Yahoo Finance, MarketBeat quotes (Oct 2026): price, shares, options, RSUs.
[4]	enCore Form 10-Q, Q2 2026 (via StockTitan summary) and Q1 2026 10-Q: convertible notes, liabilities.
[5]	Alta Mesa JV with Boss Energy (30%): RAG JSON entry; FY2024 10-K.
[6]	Black Hills Clean Water Alliance, Dewey-Burdock update (Sep 2026): permitting status (advocacy source).
[7]	enCore press release (Jun 4, 2026): Upper Spring Creek construction complete.
[8]	enCore press release (Apr 20, 2026): CEO and Executive Chair change; Holdco Markets Q2 2026 summary (Aug 17, 2026): 131,274 lb production, 360,000 lb spot purchase (secondary).
[9]	enCore Q3 2024 results (Nov 14, 2024), sec.gov: 530,000 lb sold at \$84.85/lb average.
[10]	enCore press release (Mar 25, 2022): closing of C\$30M bought deal.
[11]	enCore press release: closing of C\$34.5M public offering (Feb 2023), encoreuranium.com.
[12]	enCore MD&A for six months ended Jun 30, 2024 (sec.gov) and Q1/24 ATM sales update (Apr 4, 2024): Boss transaction, note conversion, ATM.
[13]	enCore press release and 8-K (Aug 22, 2025): \$115M convertible notes.
[14]	enCore press release (Aug 13, 2026): US\$250M ATM program, encoreuranium.com.

All sources accessed Oct 8, 2026. All figures in U.S. dollars (USD); no currency conversion was required.

Audit Trail

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{ "constants": { "pp": 0.9, "mi": 0.65, "inferred": 0.3 }, "fx": 1.0, "discount": 0.05, "cost_pad": 1.3, "timestamp": "2026-10-08T23:30:00Z", "method": "Don-Durrett 2.2" }
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